30 Oct 2026 05:53:22 ET | 15 pages

TSMC (2330.TW)

Europe investor meetings - AI conviction remains strong. Disciplined expansion to sustain long term growth and profitability

CITI'S TAKE

We hosted TSMC's European investor meetings this week. The company reinforced confidence in a structurally stronger growth cycle on broad-based demand across multiple advanced nodes. Despite unprecedented capex requirements and higher overseas manufacturing costs, TSMC's technology leadership, pricing facturing scale should enable the company to capture a share of semiconductor industry growth and value creatio ortantly, management's disciplined demand assessment, rather than aggressive capacity commitments or long-term take-or-pay contracts, should help mitigate overcapacity risks during potential cyclical corrections. Overall, management's confidence in sustained revenue growth and improving structural profitability supports a constructive long-term investment outlook.

Demand outlook – Structural growth supported by disciplined capacity planning — Management reiterated strong conviction in AI as a structural megatrend. While semiconductor cycles remain inevitable, TSMC believes its five-year demand assessment framework provides strong visibility into structural growth. The company evaluates customer product roadmaps alongside hyperscaler capex, AI infrastructure deployment, electricity availability and financing conditions, with particular emphasis on financially sound CSPs rather than speculative demand from AI startups or neocloud. Management also emphasized that growth does not exclusively rely on AI accelerators, with smartphones, non-AI HPC, automotive and IoT benefiting from rising silicon content and technology migration. Emerging applications, including robotics, autonomous driving and on-device AI, could provide additional longer-term upside, while broader adoption of open-source AI models and declining inference costs should further stimulate compute demand.

Buy

Catalyst Watch: Upside, expires 06-JAN-27

Price (30 Oct 26 13:30)	NT$2,370.00
Target price	NT$4,000.00
Expected share price return	68.8%
Expected dividend yield	2.2%
Expected total return	70.9%
Market Cap	NT$61,459,717M US$1,884,863M

Price Performance
(RIC: 2330.TW, BB: 2330 TT)



Earnings Summary

Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	1,173,268	45.24	39.9	52.4	14.3	30.3	0.6
2025A	1,717,883	66.24	46.4	35.8	11.3	35.4	0.8
2026E	2,899,686	111.81	68.8	21.2	8.0	44.2	1.1
2027E	4,119,060	158.83	42.1	14.9	5.9	45.3	2.1
2028E	5,618,176	216.64	36.4	10.9	4.3	45.2	2.9

Source: Powered by dataCentral

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

2330.TW: Fiscal year end 31-Dec

Price: NT$2,370.00; TP: NT$4,000.00; Market Cap: NT$61,459,717m; Recomm: Buy

Profit & Loss (NT$m)	2024	2025	2026E	2027E	2028E
Sales revenue	2,894,308	3,809,054	5,622,714	8,053,399	10,884,663
Cost of sales	-1,269,954	-1,527,760	-1,880,216	-2,653,227	-3,510,155
Gross profit	1,624,354	2,281,294	3,742,498	5,400,172	7,374,508
Gross Margin (%)	56.1	59.9	66.6	67.1	67.8
EBITDA (Adj)	**1,984,850**	**2,624,188**	**4,159,764**	**6,002,826**	**8,076,344**
EBITDA Margin (Adj) (%)	68.6	68.9	74.0	74.5	74.2
Depreciation	-662,797	-688,096	-865,776	-1,280,606	-1,627,793
Amortisation	0	0	0	0	0
EBIT (Adj)	**1,322,053**	**1,936,092**	**3,293,988**	**4,722,220**	**6,448,551**
EBIT Margin (Adj) (%)	45.7	50.8	58.6	58.6	59.2
Net interest	67,781	86,206	108,579	199,774	286,793
Associates	828	2,546	66,839	2,000	2,000
Non-Op/Except/Other Adj	15,176	16,819	25,412	40,267	54,423
Pre-tax profit	**1,405,839**	**2,041,663**	**3,494,818**	**4,964,261**	**6,791,767**
Tax	-233,407	-326,266	-594,049	-843,924	-1,171,850
Extraord./Min.Int./Pref.div.	836	2,486	-1,083	-1,277	-1,741
Reported net profit	**1,173,268**	**1,717,883**	**2,899,686**	**4,119,060**	**5,618,176**
Net Margin (%)	40.5	45.1	51.6	51.1	51.6
Core NPAT	1,173,268	1,717,883	2,899,686	4,119,060	5,618,176

Per share data	2024	2025	2026E	2027E	2028E
Reported EPS ($)	45.24	66.24	111.81	158.83	216.64
Core EPS ($)	45.24	66.24	111.81	158.83	216.64
DPS ($)	14.00	18.00	25.00	50.78	68.09
CFPS ($)	73.46	93.95	148.49	186.40	277.22
FCFPS ($)	36.60	44.88	76.77	86.53	166.16
BVPS ($)	165.37	208.98	296.54	404.59	553.15
Wtd avg ord shares (m)	25,934	25,933	25,933	25,933	25,933
Wtd avg diluted shares (m)	25,934	25,933	25,933	25,933	25,933

Growth rates	2024	2025	2026E	2027E	2028E
Sales revenue (%)	33.9	31.6	47.6	43.2	35.2
EBIT (Adj) (%)	43.5	46.4	70.1	43.4	36.6
Core NPAT (%)	39.9	46.4	68.8	42.1	36.4
Core EPS (%)	39.9	46.4	68.8	42.1	36.4

Balance Sheet (NT$m)	2024	2025	2026E	2027E	2028E
Cash & cash equiv.	2,127,627	2,767,856	4,040,845	5,154,317	7,394,404
Accounts receivables	272,088	281,791	661,255	810,176	1,097,648
Inventory	287,869	288,109	485,942	595,039	802,916
Net fixed & other tangibles	3,235,771	3,691,841	4,762,979	5,945,342	7,556,719
Goodwill & intangibles	0	0	0	0	0
Financial & other assets	769,374	903,426	1,330,145	1,484,221	1,832,809
Total assets	**6,692,729**	**7,933,024**	**11,281,167**	**13,989,095**	**18,684,496**
Accounts payable	74,227	84,330	181,655	203,053	288,979
Short-term debt	59,858	136,926	180,792	245,237	306,748
Long-term debt	958,429	896,062	864,264	864,264	864,264
Provisions & other liab	1,275,849	1,354,911	2,322,947	2,144,037	2,841,228
Total liabilities	**2,368,362**	**2,472,229**	**3,549,658**	**3,456,592**	**4,301,219**
Shareholders' equity	4,288,545	5,419,596	7,690,099	10,492,370	14,344,885
Minority interests	35,031	41,199	41,410	40,133	38,392
Total equity	**4,323,576**	**5,460,795**	**7,731,509**	**10,532,503**	**14,383,277**
Net debt (Adj)	**-1,109,340**	**-1,734,869**	**-2,995,790**	**-4,044,816**	**-6,223,392**
Net debt to equity (Adj) (%)	-25.7	-31.8	-38.7	-38.4	-43.3

Valuation ratios	2024	2025	2026E	2027E	2028E
PE (x)	52.4	35.8	21.2	14.9	10.9
PB (x)	14.3	11.3	8.0	5.9	4.3
EV/EBITDA (x)	30.4	22.7	14.1	9.6	6.9
FCF yield (%)	1.5	1.9	3.2	3.7	7.0
Dividend yield (%)	0.6	0.8	1.1	2.1	2.9
Payout ratio (%)	31	27	22	32	31
ROE (%)	30.3	35.4	44.2	45.3	45.2

Cashflow (NT$m)	2024	2025	2026E	2027E	2028E
EBITDA	1,984,850	2,624,188	4,159,764	6,002,826	8,076,344
Working capital	68,257	27,877	85,357	-565,606	-56,820
Other	-147,949	-215,723	-394,302	-603,160	-830,375
Operating cashflow	**1,905,157**	**2,436,342**	**3,850,818**	**4,834,061**	**7,189,149**
Capex	-956,007	-1,272,411	-1,859,971	-2,590,000	-2,880,000
Net acq/disposals	74,369	122,881	-21,575	379,152	-37,611
Other	0	0	0	0	0
Investing cashflow	**-881,638**	**-1,149,530**	**-1,881,545**	**-2,210,848**	**-2,917,611**
Dividends paid	-363,055	-466,779	-648,322	-1,316,789	-1,765,661
Financing cashflow	**-313,242**	**-590,737**	**-556,977**	**-1,254,897**	**-1,707,632**
Net change in cash	**627,147**	**615,273**	**1,321,367**	**1,277,387**	**2,472,976**
Free cashflow to s/holders	**949,151**	**1,163,931**	**1,990,848**	**2,244,061**	**4,309,149**

For definitions of the items in this table, please click here.

Pricing and profitability – Technology leadership supports sustainable margin expansion- Management reiterated that TSMC's pricing strategy remains focused on sustainable value capture rather than GM opportunistic increases during supply shortages. Despite rising equipment, labor and construction costs, the company's technology leadership, manufacturing scale and capacity constraints provide meaningful pricing power. Management emphasized that earning healthy returns on substantial technology and capacity investments is non-negotiable, while maintaining long-term customer relationships remains a priority. On profitability, overseas fab expansion is expected to dilute gross margins by approximately 2 percentage points in 2026 and 3–4 percentage points in subsequent years. Meanwhile, N2 profitability is progressing better than N3 at a comparable ramp stage, although initial dilution remains inevitable. Management expects pricing improvements, manufacturing productivity, favorable product mix and operating leverage to offset structural cost pressures, supporting sustainable long-term profitability expansion despite accelerating capex.

Concurrent multi-node demand accelerates global investment — Unlike previous cycles, when demand was concentrated on the newest technology, TSMC now sees simultaneous multi-year demand for N2, N3 and N5, supported by AI accelerators, advanced chiplet architectures and broader customer adoption. Taiwan will remain the primary location for initial advanced-node ramps, while overseas facilities increasingly support N-1 and N-2 technologies. Arizona's N3 ramp has been accelerated to late summer 2027, with additional fabs and advanced packaging capacity under development. Management is also evaluating an expansion in Texas. However, construction lead times, equipment supply and engineering talent remain key constraints, reinforcing TSMC's disciplined approach to matching capacity with internally assessed demand rather than customers' aggregate requests.

AI Demand Outlook – Strong structural growth

Management reiterated strong conviction in AI as a structural megatrend, supporting its AI accelerator revenue expected to grow at a mid-to-high 50% CAGR during 2024-2029. While semiconductor demand remains cyclical and corrections are seemingly inevitable, TSMC believes its five-year planning framework has historically captured structural growth trends despite temporary downturns, as demonstrated by the stronger-than-expected recovery following the 2023 correction. Significantly, growth is not solely dependent on AI accelerators, as smartphones, non-AI HPC, automotive and IoT also contribute through rising silicon content and technology migration. Management expects industry unit growth to remain relatively flat, while increasing silicon content could support overall semiconductor industry growth of 10% to the low teens. Emerging applications, including robotics, autonomous driving, smart glasses and on-device AI, represent additional longer-term opportunities, although meaningful contributions are not assumed in current forecasts. Management also believes broader adoption of open-source models and declining token costs should stimulate AI usage and ultimately increase demand for leading-edge silicon.

Capex Outlook – Unprecedented investment supported by disciplined demand assessment

TSMC emphasized that its capacity expansion is driven by internally assessed demand rather than aggregated customer forecasts, which often overstate market opportunities as individual customers compete for leadership. The company

employs a comprehensive top-down and bottom-up assessment framework, incorporating multi-year product roadmaps, hyperscaler capex, AI model demand, data center construction, power availability and financing conditions. Management highlighted the financial strength of established CSPs as a key consideration, while remaining more cautious toward financially constrained AI startups and neocloud providers. Although electricity availability remains the most important potential bottleneck toward 2029–31, recent on-site inspections of U.S. data center developments suggest no material power constraints in 2026–27. Against this backdrop, TSMC expects 2026 capex of US$60–64bn, up from approximately US$41bn in 2025, with aggregate investment over the next three years expected to be significantly higher than in the preceding three years. Nearly 20 fabs are under development, although construction lead times, equipment availability and engineering talent remain important physical constraints. Management reiterated that sustainable returns on invested capital are non-negotiable.

Leading-edge capacity – Concurrent multi-node demand driving structural expansion

Management highlighted a structural shift from demand concentrated primarily on the newest process node toward simultaneous, multi-year demand across several leading-edge generations. Historically, a new technology node required approximately 2–4 fabs, whereas TSMC now anticipates 8–10 fabs per major node, reflecting stronger market share, broader applications and growing chiplet adoption. N2 demand remains exceptionally strong through the end of the decade, while N3 requires approximately four additional fabs despite entering production in late 2022. N5 and N7 remain fully utilized, and A14 is expected to contribute revenue beginning in 2028. Chiplet architectures increasingly support concurrent demand for N, N-1 and N-2 technologies, allowing customers to combine advanced compute dies with less advanced functional dies. TSMC also highlighted that designing chips into a new process typically requires two to three years, followed by another one to two years before high-volume manufacturing, providing substantial long-term visibility. Process conversions between adjacent nodes offer additional flexibility, although capacity investment remains fundamentally tied to assessed demand rather than speculative expansion.

Profitability and Pricing – Capturing greater value through technology leadership and operating leverage

Management emphasized that pricing remains strategic rather than opportunistic, prioritizing sustainable value capture and long-term customer relationships over aggressive price increases during periods of supply tightness. Despite widespread inflation in equipment, construction, labor and memory costs, TSMC believes its leading-edge technology differentiation and effective capacity support provide meaningful pricing power. Profitability should benefit from improved technology ramp efficiency, utilization, product mix and economies of scale, partially offset by overseas expansion and rising depreciation. N2 profitability is progressing more favorably than N3 at a comparable ramp stage, although increasing revenue contributions will still create near-term margin dilution. Meanwhile, operating expense leverage has improved significantly, with the opex ratio declining from approximately 11–12% historically to 8–9%, supported by rapid revenue growth. Management also highlighted AI-driven manufacturing productivity improvements, including greater wafer output from existing capacity. Looking

ahead, TSMC sees opportunities for further structural profitability improvement as its customers capture greater value from advanced semiconductors. The company remains committed to sustainable shareholder returns, targeting approximately 70% of sustainable free cash flow for dividends while maintaining financial flexibility for continued investment.

Overseas Expansion – Accelerating U.S. capacity while managing GM dilution

TSMC reiterated that overseas expansion is primarily driven by customer demand for geographic diversification, with the newest technologies continuing to ramp first in Taiwan due to their close integration with R&D operations. Overseas facilities should increasingly support N-1 and N-2 production, particularly in the U.S., where Arizona's N3 production schedule has been accelerated from late 2028 to around late summer 2027. Construction of additional Arizona fabs and an advanced packaging facility is underway, while management is also evaluating potential expansion in Texas and opportunities involving Terafab initiative. Over the longer term, management expects at least 30% of N2-and-beyond production capacity to be located in the U.S. across multiple Arizona clusters. Nevertheless, overseas fabs remain structurally more expensive due to smaller scale, higher construction and labor costs, and less mature supply chains. Gross margin dilution is expected to increase from approximately 2 percentage points in 2026 to 3–4 percentage points in subsequent years. While overseas facilities are already profitable and performing better than initially expected, management does not anticipate cost parity with Taiwan within the next five years. Greater scale, productivity improvements and customer pricing support should gradually mitigate these pressures.

Advanced packaging – CoWoS scaling continues

TSMC remains confident in its advanced packaging technology leadership, particularly in CoWoS, where strong demand continues to support aggressive capacity expansion. Management confirmed that CoWoS is already in volume production at a 5.5x reticle size, with the roadmap progressing toward 9x and 14x in next tow years. Larger package sizes introduce considerable manufacturing complexity, reinforcing TSMC's differentiation in yield, reliability and execution. The company is also exploring silicon-based panel-level packaging through feasibility studies and potential pilot-line development, primarily to improve manufacturing economics. However, management stressed that various advanced packaging is being developed in parallel with, rather than replacing or cannibalizing, the existing silicon-based CoWoS roadmap. Management reiterated that advanced packaging primarily supports and enables additional high-value logic wafer demand.

TSMC

Company description

TSMC is the founder and leader of the dedicated IC foundry segment. The company has built its reputation by offering advanced and "more-than-Moore" wafer production processes and industry-leading manufacturing efficiency. From its inception in 1987, TSMC has consistently offered the foundry segment's leading technologies and TSMC-compatible design services.

Investment strategy

We rate TSMC shares as Buy. We expect TSMC to deliver sales growth of >40% in recent years thanks to strong growth from HPC/AI as well as stable demand growth from smartphone, IoT, and automotive on tech migration and a shortened replacment cycle. CPU outsourcing to TSMC offers further growth potential. A rising cash dividend should also support the share price. While TSMC has been increasing its capex meaningfully since 2009, its cost structure remaisn competitive through continuous product mix improvements, efficiency enhancements, and cost reductions.

Valuation

Our target price for TSMC shares of NT$4,000 is based on 25x our 2027E EPS, higher than its three-year average forward PER, versus global peers' average of 16-25x. We believe our target PER is justified by TSMC's leading position in advanced process node and robust AI demand growth outlook. Given its continuing leadership in the semiconductor foundry industry, we believe TSMC's stable order visibility and earnings outlook make it less vulnerable to a potential global economic downturn than some of its peers. Our target price equates to 2026E/27E P/E of ~36x/25x and 2026E/27E P/B of ~13x/10x.

Risks

Key downside risks that could impede the shares from achieving our target price include: 1) weakness in the global semiconductor market; 2) larger-than-expected margin contractions due to depreciation cost increases and strong NTD; 3) competitors entering the foundry business; 4) longer-than-expected digestion of inventory in the supply chain; and 5) a slowdown in demand either due to a global economic downturn or a global trade disruption triggered by tariffs.

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Appendix A-1

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IMPORTANT DISCLOSURES

TSMC (2330.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Laura (Chia Yi) Chen



	Date	Rating	Target Price	Closing Price
1	22-Nov-23 00:43:24	1	*720.00	577.00
2	18-Jan-24 10:40:18	1	*740.00	588.00
3	09-Apr-24 10:09:45	1	*950.00	819.00
4	18-Apr-24 09:00:06	1	*1,030.00	804.00
5	17-Jun-24 04:51:05	1	*1,150.00	921.00
6	18-Jul-24 08:21:47	1	*1,500.00	1,005.00
7	17-Oct-24 09:15:17	1	*1,540.00	1,035.00

	Date	Rating	Target Price	Closing Price
8	21-Mar-25 15:53:47	1	*1,400.00	972.00
9	09-Apr-25 07:55:10	1	*1,050.00	785.00
10	17-Apr-25 10:33:27	1	*1,100.00	847.00
11	26-Jun-25 02:57:46	1	*1,280.00	1,075.00
12	17-Jul-25 09:46:31	1	*1,400.00	1,130.00
13	25-Sep-25 09:04:47	1	*1,600.00	1,320.00
14	16-Oct-25 10:32:46	1	*1,800.00	1,485.00

	Date	Rating	Target Price	Closing Price
15	09-Jan-26 04:15:15	1	*2,450.00	1,680.00
16	15-Jan-26 10:05:29	1	*2,600.00	1,690.00
17	27-Mar-26 10:38:33	1	*2,800.00	1,820.00
18	16-Apr-26 08:25:24	1	*2,875.00	2,085.00
19	03-Jul-26 11:05:54	1	*3,800.00	2,445.00
20	07-Oct-26 06:16:47	1	*4,000.00	2,585.00

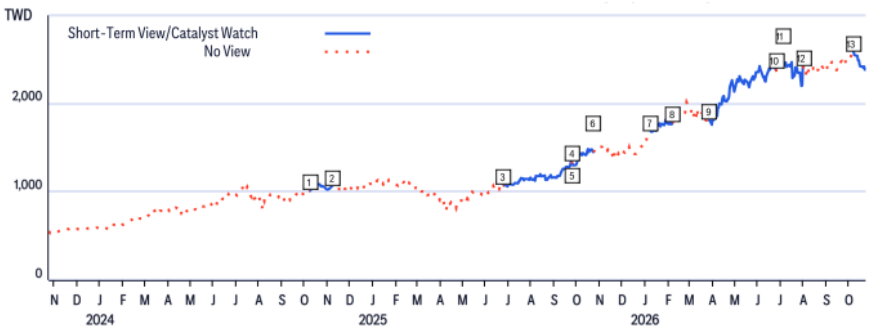
*Indicates Change

Rating/target price changes above reflect Eastern Time

TSMC (2330.TW)

Short-Term View/Catalyst Watch Research

Analyst: Laura (Chia Yi) Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	08-Oct-24 01:00:00	Add CW	Upside	30 Days	1,010.00
2	07-Nov-24 19:58:59	Remove CW	Upside	30 Days	1,065.00
3	25-Jun-25 22:57:46	Add STV	Upside	90 Days	1,070.00
4	24-Sep-25 21:58:41	Remove STV	Upside	90 Days	1,340.00
5	25-Sep-25 05:04:47	Add CW	Upside	30 Days	1,320.00

	Date	Action	Expected Direction	Duration	Closing Price
6	24-Oct-25 14:20:26	Remove CW	Upside	30 Days	1,450.00
7	08-Jan-26 23:15:15	Add CW	Upside	30 Days	1,685.00
8	08-Feb-26 19:44:43	Remove CW	Upside	30 Days	1,780.00
9	27-Mar-26 06:38:33	Add STV	Upside	90 Days	1,820.00
10	25-Jun-26 21:54:39	Remove STV	Upside	90 Days	2,390.00

	Date	Action	Expected Direction	Duration	Closing Price
11	03-Jul-26 07:05:54	Add CW	Upside	30 Days	2,445.00
12	02-Aug-26 21:35:45	Remove CW	Upside	30 Days	2,425.00
13	07-Oct-26 02:16:47	Add CW	Upside	90 Days	2,585.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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Citi Research Equity Ratings Distribution

	12 Month Rating	Catalyst Watch

Data current as of 01 Oct 2026	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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